EMPLOYMENT PRACTICES LIABILITY

THIS IS A CLAIMS-MADE AND REPORTED COVERAGE PART. Except as otherwise provided, coverage applies only to Claims first made against an Insured during the Policy Period (or any Extended Reporting Period) and reported in accordance with this Policy's terms. All Loss, including Defense Costs, will reduce and may exhaust the Limit of Liability. Please read this Coverage Part carefully.

SECTION I: INSURING AGREEMENTS

Insuring Agreement A – Employment Practices Liability: In consideration of the payment of premium and in reliance upon the statements in the Application (which is attached and made part of this Policy), and subject to all terms, conditions, limitations and exclusions of this Policy, we agree to pay on behalf of the Insured all Loss which the Insured becomes legally obligated to pay as a result of a Claim first made against an Insured during the Policy Period (or any applicable Extended Reporting Period) and reported to us in accordance with Section V, for a Wrongful Act. Insuring Agreement A applies to Claims for Employment Practices Wrongful Acts.

Insuring Agreement B – Third Party Employment Practices Liability: We also agree to pay on behalf of the Insured all Loss which the Insured becomes legally obligated to pay as a result of a Claim first made against an Insured during the Policy Period (or any applicable Extended Reporting Period) and reported to us in accordance with Section V, for a Third Party Wrongful Act. Insuring Agreement B applies to Claims for Third Party Employment Practices Wrongful Acts.

SECTION II: DEFINITIONS

For purposes of this Coverage Part, the following terms have the meanings set forth below:

A. **Application** means all applications, including any attachments, and all other information or materials submitted by or on behalf of any Insured to us in connection with the underwriting of this Coverage Part. All such applications, attachments, information and materials are deemed incorporated herein.

B. **Claim** means:

   1. a written demand for monetary or non-monetary relief (including injunctive relief) made against any Insured;
   2. a civil, judicial, administrative, regulatory or arbitration proceeding instituted against any Insured, or a formal administrative or regulatory investigation of an Insured, commenced by the service of a complaint, filing of a formal charge, notice of investigation, or similar document;
   3. a charge or complaint filed against any Insured with the U.S. Equal Employment Opportunity Commission (EEOC) or any similar federal, state, or local administrative agency; or
   4. a written demand for arbitration, mediation or other alternative dispute resolution proceeding against any Insured.

   A Claim will be deemed first made on the date an Insured first receives written notice of such Claim. **Claim** does not include labor or grievance proceedings pursuant to a collective bargaining agreement.

C. **Defense Costs** means reasonable and necessary fees, costs and expenses consented to by us (including fees and costs of attorneys, experts, or investigators) incurred in the investigation, defense, negotiation or appeal of a Claim. Defense Costs do not include salaries, wages, overhead or benefit expenses of any Insured.

D. **Employee** means any natural person whose labor or service is engaged by and directed by the Named Insured, including full-time, part-time, temporary, seasonal and leased employees, as well as any volunteer workers performing duties for the Named Insured. **Employee** also includes any applicant or prospective employee seeking employment with the Named Insured. **Employee** does **not** include any independent contractor or agent (or any employee of such independent contractor or agent) of the Named Insured, unless expressly added by endorsement to this Coverage Part.

E. **Insured** means the Named Insured and any Insured Person.

1. **Named Insured** means the entity named in the Declarations for this Coverage Part, including any Subsidiary of such entity, as of the inception date of the Policy Period. **Subsidiary** means any entity of which the Named Insured owns more than 50% of the voting stock or equity, or over which the Named Insured exerts majority control, on or before the inception of the Policy Period.

2. **Insured Person** means any natural person who was, now is, or will be: (1) a duly elected or appointed director, officer, managing member, or similar executive of the Named Insured; or (2) an Employee, including any management or supervisory Employee. Insured Person also includes any natural person who is a co-employee or direct supervisor alleged to have committed a Wrongful Act in an employment capacity.

The term **Insured** shall include the estate, heirs, executors, and legal representatives of any deceased Insured Person, and the legal representatives or assigns of any Insured Person in the event of such Insured Person's incompetency, insolvency or bankruptcy, to the extent such Insured Person would otherwise be provided coverage under this Coverage Part. The spouse or domestic partner of an Insured Person is also included as an Insured, but solely for Claims seeking recovery from marital community property, jointly held assets or property, or from that spouse's or domestic partner's legal interest in the assets of the Insured Person. In no event shall a spouse or domestic partner be covered for any Claim alleging his or her independent Wrongful Act.

F. **Interrelated Wrongful Acts** means Wrongful Acts that have as a common nexus any fact, circumstance, situation, event, transaction, cause or series of related facts, circumstances, situations, events, transactions or causes. Claims involving Interrelated Wrongful Acts shall be deemed to constitute a single Claim first made on the date the earliest such Claim was first made, or when the earliest notice of a potential Claim was given to us, whichever is earlier.

G. **Loss** means the amount that an Insured becomes legally obligated to pay as a result of a Claim, including compensatory damages, settlements, front pay and back pay, judgments, prejudgment or post-judgment interest, and Defense Costs. **Loss** also includes statutory attorney fees and, where insurable by law, any punitive or exemplary damages or the multiple portion of any multiplied damage award (using the most favorable applicable law to the insurability of such damages).

Loss does **not** include: (1) fines, penalties, taxes, or sanctions imposed against an Insured (other than exemplary or multiplied damages as covered above); (2) the cost of

compliance with any non-monetary or injunctive relief; (3) any amount which constitutes the cost of fulfilling any contract, grant, or agreement, including any employment contract or Contractor Agreement, or any obligation to reinstate or hire an Employee; (4) any wages, salaries, benefits, or other compensation owed to an Employee for work performed, other than front pay or back pay damages awarded in a Claim; (5) any amounts representing severance pay, overtime, vacation pay, sick days, medical or disability benefits, retirement or pension benefits (or the equivalent value of such benefits) owed to any current, former, or prospective Employee, other than front pay or back pay included in the resolution of a Claim; (6) any amount uninsurable under the law pursuant to which this Coverage Part is interpreted.

H. **Retaliation** means any actual or alleged adverse employment action taken against an Employee as a response to, or reprisal for, the Employee's exercise of a legally protected right. **Retaliation** includes adverse actions against an Employee for: disclosure or reporting of wrongdoing by an Insured to a superior or governmental agency (i.e., "whistleblowing"); the filing of or participation in any claim, complaint or proceeding under a legally protected right (including but not limited to claims under anti-discrimination laws, wage and hour laws, workers' compensation laws, the Family and Medical Leave Act, or similar federal, state or local laws); or refusal to violate a law or to participate in unlawful activities. (For the avoidance of doubt, **Retaliation** is not covered under this base Coverage Part and is specifically excluded in Section IV below, unless added by endorsement.)

I. **Wrongful Act** means an Employment Practices Wrongful Act or a Third Party Wrongful Act.

1. **Employment Practices Wrongful Act** – means any of the following acts, errors, or omissions committed by an Insured in their capacity as such, **when directed against** an Employee (including any applicant or prospective Employee):

   i. wrongful dismissal, discharge, or termination of employment (whether actual or constructive), including breach of an express or implied contract of employment;

   ii. workplace harassment, including sexual harassment (such as unwelcome sexual advances, requests for sexual favors, or other conduct of a sexual nature conditioning employment benefits on submission to such conduct, or creating an intimidating, hostile, or offensive work environment), and other harassment on the basis of any legally protected status;

   iii. unlawful discrimination against an Employee with respect to compensation, terms, conditions or privileges of employment, based on such person's race, color, religion, age, sex, gender, gender identity or expression, sexual orientation, national origin, ancestry, marital status, military or veteran status, disability, medical condition, pregnancy, genetic information, or any other characteristic or classification protected by applicable law;

   iv. wrongful failure or refusal to hire, promote, or grant tenure; wrongful demotion, discipline, or deprivation of career opportunity; or negligent evaluation or negligent supervision, training or retention;

   v. failure to adopt or enforce adequate workplace or employment policies or procedures;

vi. workplace bullying or other abusive or hostile work environment conduct (even if not based on a legally protected status);

vii. employment-related misrepresentation, defamation (including libel or slander), invasion of privacy, or other personal injury tort **committed as part of or related to** an employment relationship or prospective employment relationship.

2. **Third Party Wrongful Act** – means any actual or alleged harassment (including sexual harassment) or unlawful discrimination by an Insured **when directed against** any Affected Individual. **Third Party Wrongful Act** includes refusal to do business with, or the creation of a hostile, intimidating, or offensive environment for, any Affected Individual, on the basis of any legally protected characteristic of such person.

J. **Affected Individual** means any natural person (other than an Employee) who is a past, present, or prospective customer, client, vendor, supplier, business invitee or other third-party individual with whom an Insured interacts in a business or professional capacity. **Affected Individual** does not include any Employee, or any applicant for employment with the Named Insured (as such persons are covered, instead, under Employment Practices Wrongful Acts).

K. **Extended Reporting Period** if applicable, means the additional period of time following the end of the Policy Period during which Claims first made against an Insured may be reported under this Coverage Part, as described in Section V, provided the Wrongful Act was committed prior to the end of the Policy Period.

Unless otherwise defined above, any bolded or capitalized terms in this Coverage Part shall have the meaning assigned to them in the Common Policy Terms and Conditions (if any) of this Policy.

SECTION III: LIMITATIONS OF LIABILITY AND RETENTIONS

A. **Limit of Liability – General Aggregate:** The Limit of Liability stated in the Declarations for this Employment Practices Liability Coverage Part is the maximum amount we will pay for **all Loss** for all Claims combined under this Coverage Part. This aggregate Limit of Liability applies regardless of the number of Claims, Insureds, or claimants. We shall have no obligation to pay any Loss, or to defend any Claim, once the applicable Limit of Liability is exhausted.

B. **Limit of Liability – Each Claim:** Subject to the general aggregate limit above, the most we will pay for Loss arising from any single Claim (including all Claims deemed one Claim under paragraph D below) is the Each Claim Limit of Liability specified in the Declarations for this Coverage Part. If no separate “each claim” limit is stated, then the Coverage Part’s aggregate Limit of Liability applies to each Claim as well.

C. **Retention:** The Retention amount stated in the Declarations for this Coverage Part (if any) applies to each Claim. The Retention applies to Loss, including Defense Costs, and we have no obligation to pay any Loss or Defense Costs unless and until the Insured has satisfied the applicable Retention. The Insured shall bear the Retention at its own risk and we shall only be liable for Loss in excess of the Retention. If we, at our discretion, elect to pay any amounts within a Retention, the Named Insured shall reimburse us for such amounts upon our request. In the event a single Claim triggers more than one coverage part or Insuring Agreement under this Policy, only one

Retention shall apply (whichever is highest). No Retention applies to Loss or Defense Costs in a Claim, if any, where indemnification of such Loss by the Named Insured is legally prohibited or unenforceable.

D. **Related Claims – Single Claim:** All Claims based upon or arising out of the same Wrongful Act or Interrelated Wrongful Acts shall be deemed to constitute a single Claim and shall be deemed first made on the date the earliest of such Claims was first made against an Insured, or the date when notice of a potential Claim or Wrongful Act was first given to us, whichever is earlier. All such Claims shall be subject to one Each Claim Limit of Liability and one Retention. No coverage will be available for Claims or potential Claims of which any Insured had knowledge prior to the inception of this Policy (or the Retroactive Date, if applicable), unless such knowledge was disclosed in the Application.

E. **Defense Costs Within Limits:** Any Defense Costs paid under this Coverage Part are part of, and not in addition to, the applicable Limit of Liability. Payment of Defense Costs will reduce (and may exhaust) the available limits of coverage. If the Limit of Liability is exhausted by payment of Loss, our obligations under this Coverage Part shall terminate, including any further duty to defend or continue to defend.

F. **Other Insurance:** Coverage under this Coverage Part shall apply only as excess over any other valid and collectible insurance (including any insurance available to an Insured in their capacity as an employee or officer of another entity) that applies to a Claim, unless such other insurance is written specifically excess of this Coverage Part. This Coverage Part will not contribute with any other insurance that applies to a Claim.

SECTION IV: EXCLUSIONS

We shall not be liable under this Coverage Part for any Loss (including Defense Costs) in connection with any Claim:

A. **Bodily Injury/Property Damage:** for any actual or alleged bodily injury, sickness, disease, death, or emotional distress of any person, or for any damage to, destruction of, or loss of use of any tangible property; provided, however, that this exclusion does not apply to claims for mental anguish or emotional distress alleged as part of an Employment Practices Wrongful Act or Third Party Wrongful Act.

B. **Personal Injury (Non-Employment-Related):** for any actual or alleged false arrest, detention or imprisonment, wrongful entry or eviction, invasion of privacy, libel, slander, defamation, malicious prosecution, humiliation or other personal injury, **when** such Claim does not arise out of an Employment Practices Wrongful Act or Third Party Wrongful Act. (For example, this exclusion precludes coverage for personal injury tort claims by third parties that are not based on discrimination or harassment.)

C. **Wage and Hour Laws:** for any actual or alleged violation of the responsibilities, obligations or duties imposed by any federal, state or local wage and hour law, fair labor standards law, labor minimum wage law, overtime law, off-the-clock work law, rest and meal period law, payroll deduction or recordkeeping law, or any similar law governing wage, hour, wage payment, or employee classification matters – including without limitation the Fair Labor Standards Act (FLSA) and state or local equivalents – or for any Claim seeking wages, overtime pay, minimum wages, liquidated damages (for wage violations), penalties or related relief. **This exclusion applies** to all such wage and hour or payroll-related Claims **whether brought directly, derivatively or representative of others (including as class or collective actions)**. **However,** this exclusion does **not** apply to any separate Loss or Defense Costs arising from an Employment Practices

Wrongful Act that is alleged in the same Claim. (For example, if an employee brings a Claim alleging both unpaid overtime **and** unlawful discrimination, this exclusion precludes coverage for any amounts owed as overtime, but would not preclude coverage for the alleged discrimination.)

D. **Workers' Compensation and Similar Laws:** for any obligation of any Insured under any workers' compensation, unemployment insurance, social security, disability benefits, or similar law providing benefits for work-related injuries or illnesses. This exclusion also applies to any Claim for workplace injury or occupational disease to an Employee, including any Claim for retaliation arising from an Employee's exercise of rights under such laws. **However,** this exclusion does **not** apply to any separate Loss or Defense Costs arising from an otherwise covered Employment Practices Wrongful Act (such as a covered discrimination claim by a claimant who also filed for workers' compensation).

E. **ERISA and Employee Benefits:** for any actual or alleged violation of the responsibilities, obligations or duties imposed by the Employee Retirement Income Security Act of 1974 (ERISA), the Occupational Safety and Health Act (OSHA), the Consolidated Omnibus Budget Reconciliation Act (COBRA), or any similar federal, state or local statutory or regulatory law or common law that governs employee health, pension, welfare, retirement, or disability benefits (including any amendments to or regulations under such laws). This exclusion includes any Claim for benefits due under an employee benefit plan (whether the plan is insured or self-funded), or for the improper administration of any employee benefit plan. **However,** this exclusion does **not** apply to any separate Loss or Defense Costs arising from an otherwise covered Employment Practices Wrongful Act.

F. **Prior or Pending Proceedings:** based upon, arising from, or in any way relating to any civil, criminal, administrative, investigative or arbitral proceeding against any Insured which was pending on or existed prior to the **Pending or Prior Proceedings Date** stated in the Declarations for this Coverage Part (if applicable), or the same or any substantially similar fact, circumstance or situation underlying or alleged in such prior proceeding.

G. **Prior Notice:** based upon or arising out of any fact, circumstance, situation, transaction, event, or Wrongful Act which, before the inception date of this Policy, was the subject of any notice given by any Insured under any other policy of insurance, or any claim which has been made prior to the Policy Period (including any litigation or administrative proceeding which prior to the Policy Period an Insured knew was threatened or pending).

H. **Knowledge / Failure to Disclose:** based upon or arising out of any Wrongful Act or any fact, circumstance or situation that any Insured had knowledge of prior to the inception date of this Policy, and *reasonably expected* could give rise to a Claim, **and** which was not disclosed to us in the Application or in response to any inquiry during the underwriting of this Coverage Part. However, this exclusion shall **not** apply to any Insured who had no knowledge of, nor reason to know of, such prior Wrongful Act, fact, circumstance or situation. (In no event will coverage apply to any Claim arising from intentional nondisclosure or misrepresentation in the procurement of this insurance.)

I. **Fraudulent or Intentional Misconduct:** based upon or arising out of any deliberate fraudulent act, or any willful violation of law, by an Insured **if** a final judgment or final adjudication in the underlying proceeding establishes that such act or violation occurred. This exclusion will not apply to Defense Costs until such final judgment or adjudication is

rendered. For purposes of this exclusion, the fraudulent or criminal misconduct of any Insured will not be imputed to any other Insured who did not personally participate in or consent to such conduct.

J. **Retaliation** based upon or arising out of any actual or alleged Retaliation. (Coverage for Claims of Retaliation may be available by separate endorsement if expressly added; unless so endorsed, Claims for Retaliation are not covered by this Coverage Part.)

K. **Contractual Liability** based upon or arising out of any liability of others assumed by an Insured under any contract or agreement, either oral or written. This exclusion does not apply to liability that the Insured would have in the absence of the contract or agreement. This exclusion also does not apply to a Claim for breach of an employment contract **only to the extent** that such breach is asserted as part of a Claim for wrongful termination or discrimination that is otherwise an Employment Practices Wrongful Act covered by this Policy. (However, in all events, Loss shall not include any severance amounts, notice pay, or other contract payments owed under an employment or independent contractor agreement, other than front pay or back pay included in a covered judgment or settlement.)

L. **Specific Laws Exclusion** for any actual or alleged violation of: the National Labor Relations Act (NLRA); the Worker Adjustment and Retraining Notification Act (WARN); the Uniformed Services Employment and Reemployment Rights Act (USERRA); the Immigration Reform Control Act (IRCA); or any similar provisions of any federal, state or local statutory or common law (including rules or regulations thereunder). This exclusion includes any Claim arising out of or involving any collective bargaining obligations or agreements, labor union activities (such as a strike or picketing), or unfair labor practice charges. However, this exclusion shall **not** apply to the extent that a Claim alleges an Employment Practices Wrongful Act (for example, a discrimination or harassment claim) that is otherwise covered under this Coverage Part, even if it is factually related to any of the foregoing laws or matters.

M. **Insured vs. Insured** brought by or on behalf of any Insured against any other Insured, **provided that** this exclusion shall **not** apply to: (1) any Claim brought by an Employee (or applicant for employment) in his or her capacity as such, such as an employment-related Claim; or (2) any Claim brought by an Insured Person in the form of a cross-claim or third-party claim for contribution or indemnity that directly results from a covered Claim. (For example, this exclusion precludes coverage for internal disputes between business partners or directors, except it does not bar an Employee's Claim against the company or a supervisor for an alleged Employment Practices Wrongful Act.)

N. **Other Wrongful Acts** for any act, error, omission, or matter that is outside the definition of Wrongful Act under this Coverage Part (for example, claims for professional errors or omissions, or claims that properly fall under other coverage parts or policies such as Directors & Officers Liability, Fiduciary Liability, Cyber Liability, or General Liability insurance).

O. **Breach of Employment- or Other Service-Related Agreements** for, based upon, or arising out of any actual or alleged breach of an oral or written employment, partnership, stock ownership, stock option, stock purchase, franchise, independent-contractor, temporary-employee, or recruiting-agency contract or agreement.

P. **Criminal Conviction** for, based upon, or arising out of any Employment Practices Wrongful Act or Third-Party Wrongful Act if an Insured has been finally convicted of a

crime in any proceeding arising from the facts alleged in the Claim. The criminal conviction of one Insured is not imputed to any other Insured unless the other Insured approved or ratified the criminal conduct.

Q. **Personal or Domestic Services** for, based upon, or arising out of allegations that a Claimant provided personal or domestic services—including cleaning, laundry, cooking, driving, childcare, eldercare, or personal financial assistance—to any Insured, whether or not compensation was owed or paid.

R. **Ownership or Control Changes / Non-Insured Entities** for, based upon, or arising out of:

1. the Named Insured's ownership interest or participation in any company, corporation, partnership, joint venture, or other entity that is not an Insured;
2. any change in ownership of, or acquisition of or by, the Named Insured;
3. any Employment Practices Wrongful Act or Third-Party Wrongful Act committed by an entity or individual who was not an Insured on the date of the alleged act; or
4. any exposure resulting from a Material Risk Changing Event that was not disclosed to the Company within sixty (60) days of such event.

S. **Violent or Terroristic Acts** for, based upon, or arising out of actual or threatened acts of physical harm or violence to persons or property committed for the purpose of (a) intimidating, coercing, or exacting revenge on a governmental authority; (b) creating public fear or panic; or (c) expressing or advancing a political, ideological, religious, social, or economic objective.

If any Exclusion in this Section IV applies to a portion of a Claim, Loss for that portion of the Claim shall not be covered. We will, however, afford defense coverage for any other portions of the Claim that are not excluded (subject to the terms of this Policy). We shall have the right to allocate Loss between covered and uncovered matters or parties, pursuant to Section V below.

SECTION V: NOTICES AND CONDITIONS

A. **Reporting of Claims:** As a condition precedent to coverage under this Coverage Part, the Insured must provide us with written notice of any Claim as soon as practicable after any Executive Officer or Risk Manager of the Named Insured first becomes aware of the Claim, but in no event later than: (i) 60 days after expiration of the Policy Period (unless an Extended Reporting Period applies, in which case before the end of the Extended Reporting Period); or (ii) any specific reporting deadline required by law. Notice of a Claim shall include, at minimum, the date the Claim was received, a description of the Claim and the alleged Wrongful Act, the identity of the claimant(s) and Insured(s) involved, and copies of any written demands, complaints, or notices received in connection with the Claim. Notice shall be given in writing to the insurer designee specified in the Declarations. Any Claim properly reported in accordance with this section will be deemed to have been first made within the Policy Period.

B. **Notice of Potential Claims (Circumstances):** If during the Policy Period an Insured becomes aware of any specific Wrongful Act or circumstance that may reasonably be expected to give rise to a Claim against an Insured, and if the Insured reports such Wrongful Act or circumstance to us in writing before the end of the Policy Period (with particulars as to the nature of the Wrongful Act, relevant dates, identities of potential

claimants and responsible Insureds, and details of any potential damages), then any Claim subsequently arising from such reported Wrongful Act or circumstance shall be deemed to be a Claim first made during the Policy Period (on the date we received the notice of circumstance). We may, at our sole discretion, investigate any such reported circumstance and take any actions that we deem appropriate. If the Insured fails to give notice of a circumstance in accordance with this provision, any subsequent Claim arising from such circumstance will not be deemed made during the Policy Period and will not be covered under this Policy (unless it is first made during a subsequent policy period and covered under that policy).

C. **Defense and Settlement:** We shall have the right and duty to defend any Claim against an Insured seeking Loss covered by this Coverage Part. We have the right to select defense counsel to represent the Insured, and the Insured shall cooperate fully with the appointed counsel and with us in the investigation, defense, settlement or appeal of any Claim. The Insured shall not admit liability, incur any Defense Costs, assume any contractual obligation, voluntarily make any payment, or settle any Claim without our prior written consent (such consent not to be unreasonably withheld). We will not settle any Claim without the consent of the Named Insured, which consent shall not be unreasonably withheld. If the Insured refuses to consent to a settlement offer acceptable to the claimant and recommended by us, our liability for that Claim shall not exceed the amount for which the Claim could have been settled (including Defense Costs incurred up to the date of such refusal), and we shall have the right to withdraw from the defense by tendering control of the defense to the Insured, subject to the Retention.

D. **Allocation of Loss (Covered vs. Uncovered):** If a Claim includes both covered matters and uncovered matters (including allegations or demands for relief that are not covered, and/or Claims against persons or entities who are not Insureds), we will allocate Loss between covered and uncovered amounts. We shall allocate Defense Costs on an equitable basis, taking into account the relative legal exposures, and we will only pay Defense Costs on account of covered matters or covered parties. Similarly, any damages or other monetary amounts shall be allocated between covered Loss and uncovered loss based on the established facts, legal principles, or the parties' agreement. If we and the Insured cannot agree on a fair allocation, we will advance Defense Costs we deem reasonable until a different allocation is negotiated, arbitrated or judicially determined.

E. **Subrogation:** If we pay any Loss under this Coverage Part, we shall be subrogated to the Insured's rights of recovery against any third party (other than against someone who is an Insured under this Policy). The Insured will execute all papers required and will do everything necessary to secure and preserve such subrogation rights, including the execution of any documents necessary for us to bring suit in the Insured's name. We agree not to exercise any such subrogation rights against an Insured Person unless Exclusion I (Fraudulent or Intentional Misconduct) applies to that Insured Person or such Insured Person has otherwise been expressly carved out of coverage under this Policy. Any recoveries from subrogation (after deduction of our subrogation expenses) will be applied first to reimburse us and the Insured for amounts paid in connection with the Claim that were not covered due to the Retention, then to Loss paid by us, and finally to the Retention (to reimburse the Insured).

F. **Extended Reporting Period:** If either the insurer or the Named Insured chooses not to renew or if we cancel this Policy (for reasons other than non-payment of premium or Retention), the Named Insured shall have the right to purchase an Extended Reporting

Period (ERP) for this Coverage Part. The ERP is not a new policy; it extends the period in which Claims first made after the end of the Policy Period may be reported, but only for Wrongful Acts that occurred entirely before the end of the Policy Period (and on or after any Retroactive Date). The Named Insured may elect an ERP of one year, two years, or three years (as offered) by providing a written request and paying the additional premium stated in the Declarations (or, if not stated, 75%, 125%, or 150% of the full annual premium for this Coverage Part for a one, two, or three-year ERP, respectively) within 60 days after the Policy Period expires. The ERP begins when the Policy Period ends and is non-cancellable and non-renewable. Any Claim first made during the ERP will be deemed made on the last day of the Policy Period, and is subject to the same Limit of Liability and Retention (no separate limits apply for the ERP). The purchase of an ERP does not extend the Policy Period or change the scope of coverage; it only permits late reporting of Claims. If an ERP is purchased, no subsequent policy issued by us (or any affiliate) will provide coverage for any Claim that would be covered by this ERP, and any such policy shall exclude such Claims by endorsement. All premium paid for the ERP is deemed fully earned at the inception of the ERP. (If this Policy is a renewal of a previous policy, any ERP purchased under that previous policy shall be separate and in addition to any ERP purchased hereunder, and shall not overlap.)

G. **Cancellation:** The Named Insured may cancel this Coverage Part (or the entire Policy) at any time by providing advance written notice to us or our authorized agent, stating when thereafter the cancellation shall be effective. We may only cancel this Coverage Part for the following reasons: (1) non-payment of premium; (2) fraud or material misrepresentation in the obtaining of this Policy or in the presentation of a Claim; or (3) a material increase in hazard within the control of an Insured that effectively increases the risk originally accepted by us. If we cancel for non-payment of premium, we must give at least 10 days notice of cancellation to the Named Insured. If we cancel for reasons (2) or (3) above, we will give at least 30 days advance notice to the Named Insured. Notice of cancellation shall state the effective date of cancellation. The Policy Period shall terminate as of that date. If the Named Insured cancels this Coverage Part, we shall refund any unearned premium on a short-rate basis. If we cancel, any unearned premium shall be refunded pro rata. Payment or tender of unearned premium is not a condition of cancellation.

H. **Cooperation:** All Insureds must cooperate with us in the defense of any Claim and in the investigation of any potential Claim or circumstance. Upon our request, Insureds shall attend hearings and trials, assist in securing and giving evidence, and assist in obtaining the attendance of witnesses. The Insureds shall also cooperate with us (and any appointed defense counsel) in executing settlement agreements, enforcing any right of contribution or indemnity against another party, securing and enforcing any subrogation rights, and in general giving us all pertinent information and taking such actions as we deem necessary and helpful in the resolution of any Claim or circumstance. Failure to cooperate by any Insured could result in the denial of coverage for such Insured if we have been prejudiced by the lack of cooperation.

I. **Representations and Severability:** By accepting this Policy, each Insured agrees that the statements in the Application are true, accurate and complete, and were made to induce our reliance and are the basis of this Coverage Part. This Coverage Part is issued in reliance upon the truth and completeness of such statements. In the event any of the Application's statements or representations are untrue or misleading in any material respect, this Coverage Part shall be void as to any Insured who knew the truth

or falsity of such statement (whether or not such Insured knew the Application contained the misrepresentation), and as to any Insured to whom such knowledge is imputed. However, the knowledge of one Insured shall not be imputed to any other Insured for purposes of determining the availability of coverage. Only the knowledge and representations of the signing executive officer of the Named Insured, or the person(s) who prepared the Application, shall be imputed to the Named Insured entity.

J. **Changes:** Notice to or knowledge possessed by any agent or other person acting on our behalf shall not effect a waiver or a change in any part of this Coverage Part. None of the provisions of this Coverage Part can be waived, changed or modified except by a written endorsement issued by us and made a part of this Policy. No broker or agent has authority to act on our behalf to alter or amend the terms of this Coverage Part.

K. **Assignment:** No assignment of interest under this Coverage Part is valid unless we provide written consent to such assignment. In the event of the death, bankruptcy or incapacity of an Insured, this Coverage Part will cover the Insured's legal representative in the same manner and to the same extent as the Insured, but only with respect to the liability of the Insured incurred prior to such death or incapacity and as otherwise covered under this Policy.

L. **Territory and Jurisdiction:** This Coverage Part applies to Wrongful Acts taking place anywhere in the world, **provided that** any Claim is made and pursued (including any related legal proceeding) within the United States of America, its territories or possessions, Puerto Rico or Canada. We shall not be obligated to provide any defense or pay any Loss in connection with any proceeding brought in any venue or jurisdiction outside of those delineated above. (If a Claim is brought outside the permitted territories, we may elect, at our sole discretion, to investigate or provide defense in such Claim; however, we are not obligated to do so.)

M. **Authorization and Notices:** By acceptance of this Coverage Part, the Named Insured shall act on behalf of all Insureds for all purposes under this Coverage Part, including but not limited to the giving or receiving of any notice, the purchase of any Extended Reporting Period, the cancellation or nonrenewal of the Policy, the payment of premiums or Retentions, and the receiving of any return premiums. Any notice, demand or other communication to the Insureds under this Coverage Part shall be directed to the Named Insured at the address shown in the Declarations and shall be deemed received upon actual receipt by the Named Insured or 3 days after mailing to the Named Insured, whichever is earlier.

N. **Conformance to Law:** Any terms of this Coverage Part in conflict with the statutes or regulations of any applicable jurisdiction are hereby amended to conform to those laws. If any provision of this Coverage Part is deemed invalid or unenforceable under applicable law, the remainder of the Coverage Part shall remain in full force and effect.

O. **Headings:** The descriptions in the headings and subheadings of this Coverage Part are solely for convenience and reference, and do not expand, limit or otherwise affect the provisions to which they relate.

End of Employment Practices Liability Coverage Part.

(All other terms, conditions, and exclusions of the Policy remain unchanged.)